

Strategic Case Study
Predicted Paper 7 - Summer 2026
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You are a finance and business analyst working in the office of the Finance Director of Karachi Motor & Cycle Hire (Pvt.) Ltd (KMCH).

KMCH's Board is reviewing a set of strategic matters that include the relative attractiveness of domestic motorcycle-tour growth and a limited GCC opportunity, the possible carve-out of KMCH Mobility Services, and the people, tax and governance implications of these proposals.

The Finance Director has asked you to review the information in the appendices and prepare responses to the requirements set out below.

You should assume that today's date is 20 August 2026.

Unless otherwise stated, all amounts are in Pakistani Rupees (Rs) million. Amounts stated in AED are UAE dirham amounts for the purpose of the GCC opportunity.

Additional information

You should use the information contained in the pre-seen material and the additional information provided in the appendices to answer the requirements.

The following appendices are provided:

- Appendix 1 - Email from the Finance Director on the August Board agenda
- Appendix 2 - External environment and strategic options under review
- Appendix 3 - Internal capability, value-chain and motorcycle-tour readiness notes
- Appendix 4 - GCC airport mobility opportunity: financial and valuation data
- Appendix 5 - Proposed carve-out of KMCH Mobility Services
- Appendix 6 - Tax notes on the GCC opportunity and proposed carve-out
- Appendix 7 - HR learning and development concerns and motorcycle safety matter

Requirements

Question 1

(a) Analyse the external environment and industry attractiveness of KMCH's Pakistan mobility market and the proposed GCC market using PESTEL and Porter's Five Forces. (14 marks)

(b) Evaluate the suitability, acceptability and feasibility of KMCH's main strategic options, including motorcycle adventure tourism in Pakistan and the proposed GCC international opportunity. (12 marks)

(c) Assess whether KMCH has the strategic capability and value-chain strength to execute the proposed growth options and identify key capability gaps that should be addressed before implementation. (8 marks)

Total Question 1: 34 marks

Question 2

- (a) Using the financial information provided, evaluate the proposed GCC opportunity, including parent-company NPV, business valuation of the local operator and expected synergy benefits. (18 marks)
- (b) Evaluate the proposal to carve out KMCH Mobility Services as a separate subsidiary, including capital structure, free cash flow, valuation, control and strategic implications. (14 marks)
- (c) Advise on the funding and treasury discipline KMCH should maintain before committing simultaneously to the GCC opportunity, motorcycle-tour expansion and the proposed carve-out. (6 marks)

Total Question 2: 38 marks

Question 3

- (a) Discuss the tax implications of the GCC opportunity and the proposed KMCH Mobility Services carve-out, including overseas tax, withholding tax on remittances, transfer pricing, intercompany charges, royalties / service fees and transfer of assets or IP. (12 marks)
- (b) Recommend how KMCH should design an employee learning and development framework to address the issues highlighted in the exit-interview feedback and to support the proposed GCC opportunity, KMCH Mobility Services carve-out and motorcycle adventure-tour business. (8 marks)
- (c) Advise how the Board should respond if management proposes launching motorcycle adventure tours before all route safety, insurance, vehicle inspection and emergency-response arrangements are fully completed. (8 marks)

Total Question 3: 28 marks

Grand total: 100 marks

Appendix 1 - Email from the Finance Director on the August Board agenda

To: Finance and business analyst

From: Finance Director

Subject: Information required for August Board strategy discussion

The Board's next meeting will focus on how KMCH should prioritise growth after the first phase of digital platform, franchising and depot review work. The pre-seen material already highlighted domestic growth options, the proposed KMCH Mobility Services subsidiary, and the need to protect service quality as the business scales.

There is now pressure to decide whether KMCH should continue focusing only on domestic expansion or should test a limited GCC opportunity. The opportunity is still preliminary and should not be treated as approved. The Board wants an objective comparison of strategic options, external-market risks and financial value.

At the same time, the Operations Director has asked for permission to accelerate motorcycle adventure-tour packages for the upcoming peak tourism season. The Human Resources Director has also reminded the Board that the exit-interview feedback in the pre-seen raised concerns about training, progression and inconsistent depot practices. The Board is concerned that moving into higher-risk activities without improving employee capability may weaken KMCH's premium positioning.

Please prepare advice that is commercially realistic and not merely theoretical. The Board expects the analysis to link strategy, finance, tax, people capability, governance and risk.

Appendix 2 - External environment and strategic options under review

The Strategy team has summarised two markets being considered by the Board. The Pakistan market remains KMCH's core market and includes existing premium car hire, chauffeur services, corporate leasing and motorcycle-tour opportunities. The GCC opportunity relates to a small airport-transfer and chauffeur-service operator that has approached KMCH through a hotel-sector contact.

Pakistan remains attractive because KMCH already has brand recognition, local operating knowledge, a telematics-enabled platform, existing regulatory licences in Sindh and Punjab, and a customer base built around reliability and premium service. However, cost inflation, uneven provincial regulation, informal competitors and rising customer expectations create pressure on margins and quality consistency.

The GCC market offers stronger inbound tourism flows, higher average transaction values and more structured corporate and hotel demand. However, it is more competitive, has higher service expectations, requires local licensing and staff compliance, and would expose KMCH to foreign currency, overseas tax, local partner and execution risks.

The Board has not yet decided whether to prioritise the GCC opportunity, motorcycle adventure tourism in northern Pakistan, virtual depot expansion, or a more conservative strengthening of existing operations.

Factor	Pakistan mobility market	Proposed GCC mobility market
Political / regulatory	Province-specific rent-a-car permits, vehicle fitness, route permissions and insurance compliance are already part of KMCH's operating model. Northern-route tourism may require additional local permits and tour-guide arrangements.	Local mobility licensing, airport / hotel access approvals and labour-law compliance would require local advice. A local operator may reduce entry friction but will not remove KMCH's responsibility for compliance.
Economic	Demand is supported by urbanisation, tourism recovery and corporate mobility, but fuel, spare-parts and finance costs remain volatile. Customers are price sensitive outside the premium segment.	Higher average revenue per trip and hotel / airport traffic may support margins, but staff, insurance and compliance costs are higher. Exchange-rate movements affect parent-company returns.
Social	Adventure tourism is growing, especially among domestic and returning expatriate travellers, but safety expectations are rising. Customer trust is linked to reliable vehicles and route support.	Tourists and business travellers expect punctuality, clean vehicles, professional drivers and strong digital booking. Reputation risk is high if service fails.
Technology	Digital bookings, telematics, licence verification and dynamic pricing support KMCH's advantage, although the existing platform requires refresh and stronger integration.	Hotel/airport integrations, driver tracking and service reliability dashboards would be expected. Systems must interface with local operator processes.
Environmental	Longer routes and motorcycle tours may increase emissions and safety scrutiny. EV/hybrid adoption remains infrastructure-dependent.	Customers and hospitality partners may expect low-emission options and formal sustainability information, especially for premium transport.
Legal	Insurance, customer licence verification, route permits and tourist-guide compliance are critical.	Local tax, service contracts, insurance, data protection, driver employment and customer liability rules require specialist review.

Force	Pakistan market indication	GCC opportunity indication
Competitive rivalry	Established rental brands, domestic operators and app-based entrants compete on price, convenience and availability. KMCH differentiates on reliability and premium service.	Competition is intense from local airport-transfer companies, hotel transport providers and ride-hailing platforms. Differentiation would depend on service reliability and partner access.
Threat of new entrants	Digital entry barriers are falling, but scale, licences, insurance and fleet procurement still matter.	Licensing, hotel relationships and local reputation create barriers, but well-funded local players can respond quickly.
Buyer power	Corporate clients and price-sensitive customers can negotiate aggressively; premium customers pay for trust and convenience.	Hotels and corporate clients may have high bargaining power because they can direct customer traffic and demand service-level penalties.
Supplier power	Vehicle assemblers, lessors, spare-parts vendors and insurers influence costs.	Drivers, insurers, airport/hotel access providers and local compliance advisers may carry high cost and bargaining power.
Substitutes	Ride-hailing, private cars, intercity coaches, peer-to-peer rentals and informal operators.	Ride-hailing, hotel shuttles, taxis, chauffeur apps and public transport in major cities.

Appendix 3 - Internal capability, value-chain and motorcycle-tour readiness notes

The Operations Director has prepared the following internal notes. These notes are not a final recommendation. They are intended to help the Board consider whether KMCH has the capability to execute the strategic options under review.

KMCH's current value chain is strongest in brand management, fleet procurement, depot-based handover processes, telematics monitoring and customer-service discipline. Its weaknesses are visible in platform workarounds, inconsistent training, reliance on experienced depot staff and limited international operating experience.

The motorcycle-tour business uses 100 touring motorcycles already included in KMCH's fleet. Demand is seasonal and currently concentrated around curated routes and guided tour packages. Management believes the business could grow quickly if KMCH secures local partners in Gilgit and Skardu, but route support, emergency response and insurance arrangements would need to be formalised.

Capability area	Current position / concern
Brand and customer trust	KMCH is recognised as a premium and reliable vehicle-hire brand in Karachi and Lahore. The brand may help domestic tours but may not transfer automatically to a GCC market.
Fleet and maintenance	Telematics has reduced unscheduled downtime, but older vehicles and motorcycles require disciplined inspections and route-readiness checks.
Digital platform	The booking platform supports licence validation, GPS tracking and handover photographs, but pre-seen information indicates manual workarounds and inconsistent reporting at depot level.
People capability	Exit-interview feedback highlighted limited structured training, weak progression and inconsistent depot practices. New growth options will require stronger training and supervision.
Regulatory capability	KMCH understands Sindh and Punjab requirements. Northern tourism and GCC operations require additional permits, route support, insurance and specialist legal advice.
Partner management	The company uses an approved repair-vendor list, but tour partners and overseas operators would require stronger contractual, reporting and service-quality controls.

Appendix 4 - GCC airport mobility opportunity: financial and valuation data

KMCH has been introduced to GulfGate Mobility LLC, a privately-owned GCC airport-transfer and chauffeur-service operator. The business has a small fleet, hotel relationships and local operating licences. KMCH is considering acquiring a 60% stake and using the operator as a limited pilot rather than launching its own business from zero.

The Finance team has prepared the following preliminary figures for Board discussion. The figures have not been independently verified. For the purpose of this paper, assume AED 1 = Rs 77 at the transaction date.

Item	Assumption
Stake to be acquired	60% of GulfGate Mobility LLC
Immediate share purchase price	AED 8.2 million payable at completion
Transaction and advisory costs	AED 0.4 million payable immediately; not tax deductible
Integration investment	AED 1.0 million payable immediately to connect booking, reporting and service-quality systems
Parent-company discount rate	18% in Pakistani Rupees
Local corporate tax	9% on taxable operating profits; the free cash flows below are already after local corporate tax unless stated otherwise
Withholding tax / remittance deduction	5% on cash remitted to Pakistan
Remittance policy	70% of annual distributable cash is expected to be remitted each year. The balance is retained locally for working capital and released at exit in Year 5.
Forecast AED/PKR exchange rates for remittances	Year 1: 80; Year 2: 83; Year 3: 86; Year 4: 89; Year 5: 92

Year	1	2	3	4	5
Free cash flow of GulfGate after local tax but before synergies (AED million)	1.60	1.90	2.20	2.50	2.70
Pre-tax annual operating synergy expected from KMCH systems and hotel cross-selling (AED million)	0.30	0.50	0.70	0.80	0.90
Integration / restructuring cash cost (AED million)	0.20	0.20	0.10	-	-

Synergy cash benefits are subject to local corporate tax at 9%. Integration / restructuring cash costs are assumed to be tax deductible when incurred. KMCH would be entitled to 60% of the net cash flows and terminal value.

At the end of Year 5, management expects to value the whole business at 6.0 times Year 5 EBITDA. Year 5 EBITDA after synergies is estimated at AED 3.6 million. GulfGate is expected to have local debt of AED 2.0 million at that date. Exit transaction costs and taxes are estimated at 2% of the equity value.

Valuation cross-check	Data
Latest reported EBITDA	AED 1.8 million
Maintainable EBITDA after normalising owner salary, one-off repairs and non-recurring airport access fees	AED 2.1 million
Observed valuation range for comparable small local operators	Enterprise value of 5.0x to 6.5x maintainable EBITDA

Existing local debt to be retained in the business	AED 1.5 million at completion
Seller's comment	The seller argues that KMCH should pay for most of the expected synergies because KMCH's brand and system will immediately improve the operator's profitability.

Appendix 5 - Proposed carve-out of KMCH Mobility Services

The pre-seen material referred to the Board's in-principle agreement to create KMCH Mobility Services (Private) Ltd as a wholly owned subsidiary. The proposed entity would own the booking platform, brand guidelines, franchise rights and future licensing arrangements. The Board has not yet approved the final structure or capitalisation.

A working paper prepared for discussion suggests that the carve-out may improve accountability and make it easier to license the platform to franchisees and partners. However, some directors are concerned that separating technology, brand and franchise rights from the operating company could create conflicts over service levels, transfer prices and control.

Item	Proposed treatment / assumption
Assets to be transferred	Booking platform modules, brand manuals, franchise documentation, data templates, training content and selected head-office IT assets
Carrying amount of identifiable assets	Rs 180 million
Independent indicative fair value of identifiable assets	Rs 420 million
Indicative value attributed to brand / platform know-how	Rs 650 million, subject to legal and tax review
Initial capitalisation	Rs 400 million ordinary equity from KMCH and Rs 350 million intercompany loan at 14% annual interest
Possible future investor	A 20% minority investor in KMCH Mobility Services has informally suggested investing Rs 450 million if the subsidiary has clear legal ownership of platform and franchise rights
Intercompany charging model	The subsidiary may charge KMCH operating depots a platform support fee equal to 2.5% of rental revenue and charge franchisees a royalty plus technology fee
Control concern	The Chair wants KMCH to retain strategic control over brand use, pricing boundaries and customer-service standards.

Year	1	2	3	4	5
Forecast free cash flow before financing for KMCH Mobility Services (Rs million)	95	135	180	220	260
Estimated maintenance and platform refresh capex included above (Rs million)	35	45	55	65	75

For valuation purposes, the Finance team has suggested a rupee discount rate of 17% and a terminal growth rate of 4% after Year 5. The forecasts assume that the subsidiary signs internal service agreements with existing depots and licenses two franchise depots by Year 3.

The Board wants advice on whether the carve-out should proceed now, whether the subsidiary should be funded by debt, equity or a mix, and whether any minority investor should be admitted at subsidiary level.

Appendix 6 – Tax notes on the GCC opportunity and proposed carve-out

The Tax Manager has prepared preliminary notes for Board discussion. The notes are deliberately high level and will require specialist advice before any contracts are signed.

For the GCC opportunity, the local entity would pay local corporate tax on taxable profits. Cash remitted to Pakistan may suffer withholding tax or equivalent remittance deduction. Pakistan tax consequences will depend on whether profits are received as dividends, service fees, royalties or management charges, and whether relief is available for overseas tax under applicable law and treaty arrangements.

If KMCH charges the GCC entity for platform access, brand use, training, management support or data analytics, these charges should be supported by written agreements and arm's length pricing. The tax authorities in either country may challenge charges that do not reflect fair market value or that shift profits without commercial substance.

For the proposed KMCH Mobility Services carve-out, tax advice is needed on transfer of platform assets, brand documentation, software, customer data structures and other intangibles. If assets are transferred at below fair value, tax authorities may challenge the transfer value. If transferred at fair value, tax may arise on disposal gains, and future depreciation / amortisation treatment must be confirmed.

The proposed intercompany platform support fee, royalties and franchise technology fee must be documented through service-level agreements and priced consistently. Sales tax / provincial services tax treatment may differ depending on whether the charge is for software, technology support, brand royalty, management service or taxable mobility service. Input tax recovery may be restricted if the underlying services are exempt, reduced-rate or not directly linked to taxable supplies.

Appendix 7 - HR learning and development concerns and motorcycle safety matter

The Human Resources Director has reviewed the exit-interview feedback included in the pre-seen material and has provided an updated note to the Board. She believes the comments should not be dismissed as an isolated resignation. The feedback is consistent with informal staff concerns about training, career progression, inconsistent shift allocation and weak link between performance and reward.

The HR team has also received comments from depot supervisors that staff are being asked to learn new systems, support premium customers, assist with corporate accounts and explain more complex rental terms without a structured training programme. Several planned training sessions on telematics, customer-complaint handling and EV charging were cancelled due to staff shortages.

The Operations Director wants to launch an expanded motorcycle-tour schedule before the upcoming peak season. The draft schedule includes longer routes, more international tourist groups and more overnight packages. Some route risk assessments are complete, but updated insurance confirmations, emergency-response arrangements, guide refresher training and full vehicle inspection documentation are still in progress.

A senior depot supervisor has said that the tours should proceed because demand is strong and cancellations would damage the brand. The supervisor also argued that experienced guides already know the routes and that final paperwork can be completed after the launch. The Human Resources Director and one non-executive director are uncomfortable with this approach.